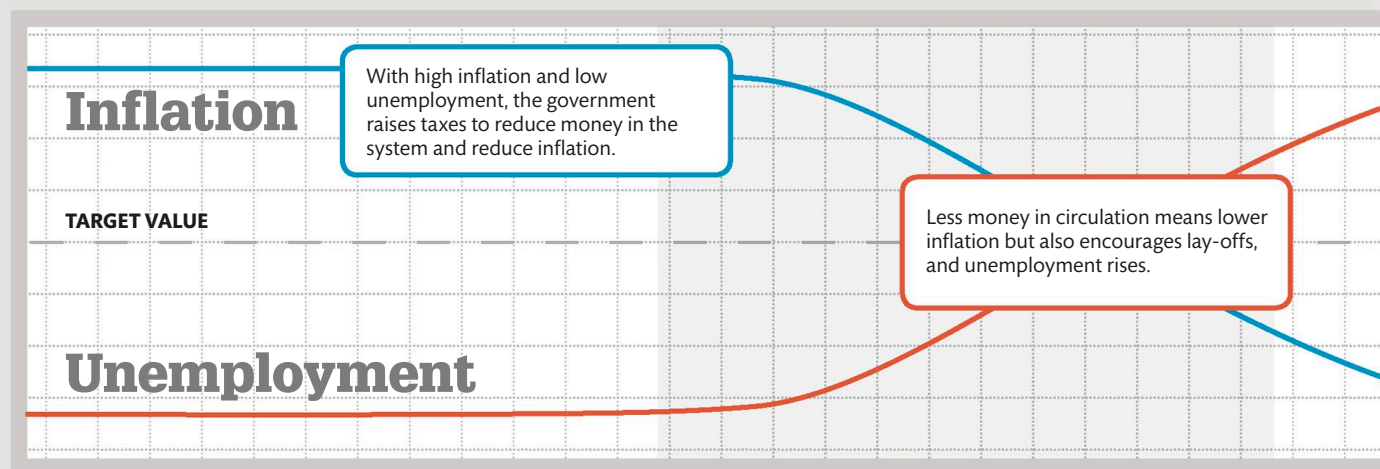




Deciding on economic policy

Governments closely monitor data on the economy to establish which policies might improve its performance. There are numerous ways of intervening in the economy, each with their own pros and cons.



Calibrating the economic machine

Governments have a number of different controls they can adjust to help the smooth running of the economy. The biggest are taxes, spending decisions, and interest rates. Each of these controls affects the economy in many different ways, and governments have to consider a range of potential outcomes when taking action.

“Inflation is the one form of taxation that can be imposed without legislation”

Milton Friedman, US economist

